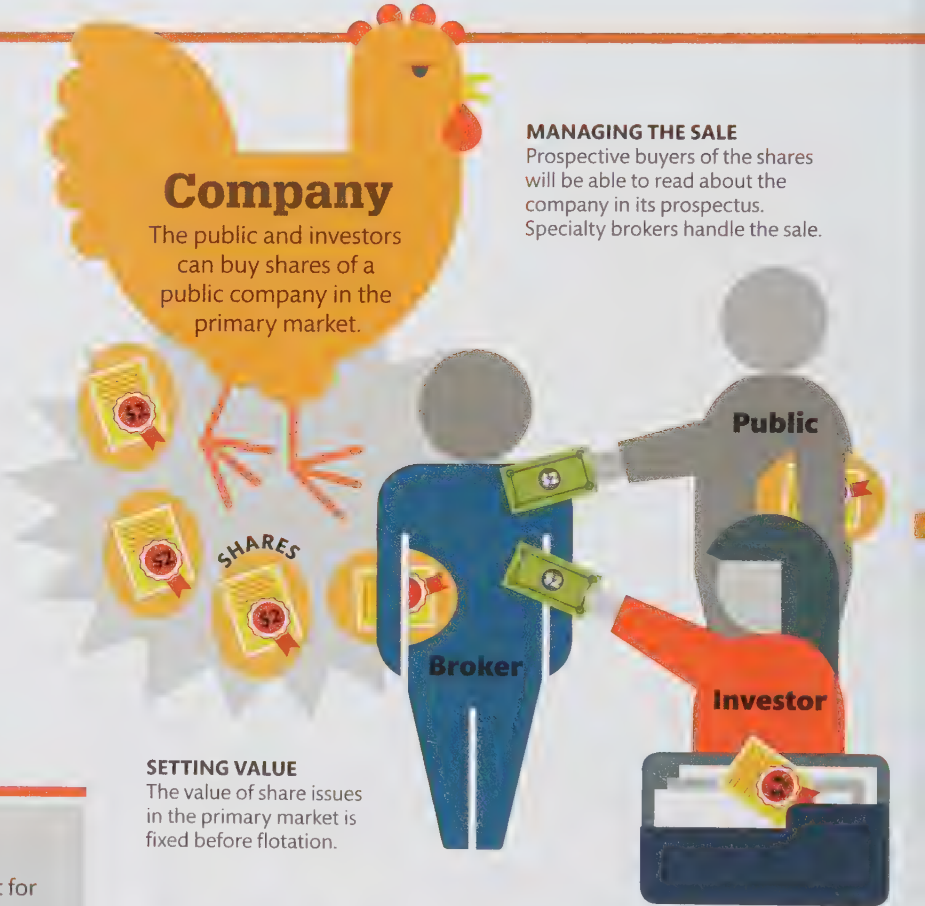
Primary and secondary markets

In order for shares to be bought and sold, there needs to be a market where they can be traded. There are different types of markets, depending on the type of share and the size of the trade.

Primary market

A private company may decide to issue shares because it needs money to expand and grow, and it wants access to a wide pool of potential investors. The company sells (or "floats") these new shares in the primary market in an Initial Public Offering (IPO). A company that is preparing to float will use the services of several investment banks to gauge and gather support for the sale of its shares from institutional and private investors before setting a price. The shares are then sold to the public and institutional investors by the company using the services of a specialty broker.



MANAGING THE SALE
Prospective buyers of the shares will be able to read about the company in its prospectus. Specialty brokers handle the sale.

SETTING VALUE
The value of share issues in the primary market is fixed before flotation.

WARNING

There must be a secondary market for selling on shares bought in the primary market. If no one is interested in buying them, or there is no place to trade them, the market for them becomes illiquid. Investment scams often involve investors being sold securities that cannot be sold on in a secondary market because they are not listed on the exchanges or have no intrinsic value or potential. A share is only tradeable when other investors want to buy or sell it.

802 billion
The number of shares traded on the NYSE in 2008